

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 840

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO STATE AFFAIRS; AMENDING SECTION 67-7201, IDAHO CODE, TO REMOVE OBSOLETE PROVISIONS; AMENDING SECTION 63-2552A, IDAHO CODE, TO REVISE PROVISIONS REGARDING ADDITIONAL TAXES IMPOSED; AMENDING SECTION 63-3029A, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE AND TO MAKE TECHNICAL CORRECTIONS; AND DECLARING AN EMERGENCY AND PROVIDING EFFECTIVE DATES.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-7201, Idaho Code, be, and the same is hereby amended to read as follows:

67-7201. COMMISSION CREATED -- APPOINTMENT OF MEMBERS. There is hereby created the Idaho Commission on Hispanic Affairs, hereafter referred to as the commission. The commission shall consist of nine (9) members, two (2) to be appointed by the president pro tempore of the senate from the members of the senate; two (2) to be appointed by the speaker of the house of representatives from the members of the house; and five (5) public members to be selected from the Hispanic community who reside in and represent the various geographical areas of the state which contain a significant Hispanic population. The five (5) public members shall be appointed by the governor. ~~Of the five (5) public members first to be appointed, two (2) shall be appointed for a term of one (1) year, two (2) shall be appointed for a term of two (2) years and one (1) shall be appointed for a term of three (3) years. The governor shall specify the term of each public member when making the initial appointments. All initial appointments shall commence on July 1, 1987.~~ All subsequent terms shall be for three (3) years. Vacancies shall be filled in the same manner as the original appointments and for the balance of the unexpired term.

SECTION 2. That Section 63-2552A, Idaho Code, be, and the same is hereby amended to read as follows:

63-2552A. ADDITIONAL TAX IMPOSED -- RATE. (1) In addition to the tax imposed in section 63-2552, Idaho Code, there is levied and there shall be collected an additional tax upon the sale, use, consumption, handling, or distribution of all tobacco products in this state at the rate of five percent (5%) of the wholesale sales price of such tobacco products; provided, however, that the combined tax on a cigar imposed by this section and section 63-2552, Idaho Code, shall not exceed fifty cents (\$0.50) per cigar. Such tax shall be imposed at the time the distributor:

(a) Brings, or causes to be brought, into this state from without the state tobacco products for sale;

(b) Makes, manufactures, or fabricates tobacco products in this state for sale in this state; or

(c) Ships or transports tobacco products to retailers in this state to be sold by those retailers.

(2) Fifty percent (50%) of the tax collected pursuant to this section shall be subject to appropriation to the public school income fund to be utilized to develop and implement school safety improvements and to facilitate and provide substance abuse prevention programs in the public school system and the Idaho bureau of educational services for the deaf and the blind, less two hundred thousand dollars (\$200,000) that shall be remitted annually to the Idaho state police to increase toxicology lab capacity in the bureau of forensic services for drug testing of juveniles, ~~and less eighty thousand dollars (\$80,000) that shall be remitted to the commission on Hispanic affairs to be used for substance abuse prevention efforts in collaboration with the state department of education.~~ Fifty percent (50%) of the tax collected pursuant to this section shall be subject to appropriation to the department of juvenile corrections for distribution quarterly to the counties to be utilized for county juvenile probation services, based on the percentage the population of the county bears to the population of the state as a whole. The moneys remitted to the Idaho state police shall be reviewed annually and any money in excess to the operations needs of the laboratory for juvenile drug testing will be deposited in the public school income fund for substance abuse prevention programs in the public school system. The laboratory may utilize this increased toxicology capacity for adult drug testing to the extent that timely testing for juveniles is not adversely impacted.

SECTION 3. That Section 63-3029A, Idaho Code, be, and the same is hereby amended to read as follows:

63-3029A. INCOME TAX CREDIT FOR CHARITABLE CONTRIBUTIONS -- LIMITATION. At the election of the taxpayer, there shall be allowed, subject to the applicable limitations provided herein, as a credit against the income tax imposed by chapter 30, title 63, Idaho Code, an amount equal to fifty percent (50%) of the aggregate amount of charitable contributions made by such taxpayer during the year to a nonprofit corporation, fund, foundation, trust, or association organized and operated exclusively for the benefit of institutions of higher learning located within the state of Idaho, including a university-related research park, to nonprofit private or public institutions of elementary, secondary, or higher education or their foundations located within the state of Idaho, to Idaho education public broadcast system foundations within the state of Idaho, to the Idaho state historical society or its foundation, to the council for the deaf and hard of hearing, to the developmental disabilities council, to the commission for the blind and visually impaired, ~~to the commission on Hispanic affairs,~~ to the state independent living council, to the Idaho commission for libraries and to public libraries or their foundations and library districts or their foundations located within the state of Idaho, to the Idaho STEM action center, to nonprofit public or private museums or their foundations located within the state of Idaho, to residency programs accredited by the accreditation council for graduate medical education or the American osteopathic association or their designated nonprofit support organizations based in Idaho and devoted to training residents in Idaho and to dedicated accounts within the Idaho community foundation inc. that exclusively support the charitable

1 purposes otherwise qualifying for the tax credit authorized under the pro-
 2 visions of this section.

3 (1) In the case of a taxpayer other than a corporation, the amount al-
 4 lowable as a credit under this section for any taxable year shall not exceed
 5 fifty percent (50%) of such taxpayer's total income tax liability imposed by
 6 section 63-3024, Idaho Code, for the year, or five hundred dollars (\$500),
 7 whichever is less.

8 (2) In the case of a corporation, the amount allowable as a credit un-
 9 der this section for any taxable year shall not exceed ten percent (10%) of
 10 such corporation's total income or franchise tax liability imposed by sec-
 11 tions 63-3025 and 63-3025A, Idaho Code, for the year, or five thousand dol-
 12 lars (\$5,000), whichever is less.

13 For the purposes of this section, "contribution" means monetary dona-
 14 tions reduced by the value of any benefit received in return such as food, en-
 15 tertainment, or merchandise.

16 For the purposes of this section, "institution of higher learning"
 17 means only an educational institution located within this state meeting all
 18 of the following requirements:

19 (a) It maintains a regular faculty and curriculum and has a regularly
 20 enrolled body of students in attendance at the place where its educa-
 21 tional activities are carried on.

22 (b) It regularly offers education above the twelfth grade.

23 (c) It is accredited by the northwest commission on colleges and uni-
 24 versities.

25 For the purposes of this section, a "nonprofit institution of secondary
 26 or higher education" means a private nonprofit secondary or higher educa-
 27 tional institution located within the state of Idaho, which is accredited
 28 by the northwest commission on colleges and universities, or accredited by
 29 a body approved by the state board of education. A nonprofit private insti-
 30 tution of elementary education means a private nonprofit elementary educa-
 31 tional institution located within the state of Idaho and accredited by the
 32 state board of education pursuant to section 33-119, Idaho Code.

33 For the purposes of this section, a nonprofit corporation, fund, foun-
 34 dation, trust, or association that invests contributions in an endowment or
 35 otherwise shall be subject to the standards of care imposed under section
 36 33-5003, Idaho Code.

37 SECTION 4. An emergency existing therefor, which emergency is hereby
 38 declared to exist, Section 1 of this act shall be in full force and effect on
 39 and after July 1, 2026, and Sections 2 and 3 of this act shall be in full force
 40 and effect on and after July 1, 2028.